

**Assessing the impact of artificial
intelligence technologies on
global labor markets and
economic stability.**

Economic and Financial Committee (Second Committee)

I. Introduction

“AI won’t replace humans, but those who use AI will replace those who don’t.”

- Garry Kasparov

Artificial intelligence (AI) has quickly become one of the most important technologies in today’s world. It is now used in many areas of daily life, including healthcare, education, business, and entertainment. AI refers to computer systems that can perform tasks that usually require human intelligence, such as understanding language, solving problems, and analyzing information. Because of this, AI is not just a technological development, but also something that is changing how economies and societies function.

In recent years, tools developed by companies such as OpenAI have made AI accessible to the general public. Applications like ChatGPT allow people to interact with AI in a simple and natural way, which has increased its popularity and use. While this brings many benefits, such as saving time and increasing productivity, it also raises concerns about job security and the future of work.

II. Definition of Key Terms

Artificial Intelligence (AI)

Artificial Intelligence (AI) is a general term used to describe computer systems that can perform tasks associated with human intelligence. These systems are designed to learn from data, recognize patterns, and make decisions, often improving their performance over time.

Generative AI

Generative AI is a type of AI that can create new content, such as text, images, or code. Instead of simply analyzing information, it produces original outputs based on patterns it has learned from large datasets. This is the technology behind tools like ChatGPT.

Large Language Models (LLMs)

Large Language Models (LLMs) are advanced AI systems trained on vast amounts of text. They are capable of understanding and generating language in a way that often feels natural and human-like. These models are used for tasks such as writing, translating, and summarizing information.

Automation

Automation refers to the use of technology to carry out tasks with little or no human involvement. While automation has existed for many years, AI has expanded its reach into more complex areas, including analytical and creative work.

Labor Displacement

Labor Displacement occurs when technological changes reduce the need for certain jobs, forcing workers to find new roles or develop new skills.

Labor Augmentation

Labor Augmentation describes situations in which AI supports workers rather than replacing them. In these cases, AI helps individuals become more efficient and productive.

Skill Polarization

Skill Polarization is a trend where high-skilled and low-skilled jobs increase, while middle-skilled jobs decline. This can lead to greater inequality within the labor market.

The AI Preparedness Index

The AI Preparedness Index, developed by the IMF, measures how well countries are equipped to adopt AI technologies, based on factors such as infrastructure, education, and policy.

Total Factor Productivity (TFP)

Total Factor Productivity (TFP) is an economic measure that shows how efficiently resources are used to produce goods and services. AI is expected to increase productivity by improving efficiency across different sectors.

III. Background Information

In 1950 British mathematician Alan Turing published a paper proposing what became known as the Turing Test, which presents the idea that if a machine could hold a conversation indistinguishable from a human, one could say it was thinking. Then in 1956, a group of researchers at Dartmouth College officially coined the term "artificial intelligence" and started the project of simulating human intelligence with machines. Progress was slow and uneven. There were bursts of excitement followed by periods of stalled funding and disappointment, known as "AI winters", when the technology simply could not deliver on its promises.

The situation changed dramatically with the rise of modern computing. Three key factors contributed to this shift: the availability of large amounts of data, improvements in computing power, and advances in machine learning techniques. These developments allowed AI systems to process information more effectively and learn from experience. By the 2010s, AI had already achieved impressive results in specific tasks, such as recognizing images or playing strategic games. A notable example is when DeepMind's AlphaGo defeated Lee Sedol in 2016, demonstrating that AI could handle highly complex decision-making.

A major breakthrough came in 2022 with the release of ChatGPT. Unlike earlier AI systems, it was designed for public use and required no technical expertise. Anyone could interact with it using natural language, making its capabilities immediately visible. This led to rapid adoption and increased awareness of AI's potential impact. By 2025, AI had already begun to

influence the global economy in noticeable ways. Many large companies were using AI to improve efficiency and productivity, while workers with AI-related skills were in high demand. At the same time, workers who entered the job market faced increased competition and changing expectations.

The IMF estimates that around 40% of jobs globally have some exposure to AI. The World Economic Forum projects that by 2030, around 92 million jobs could be displaced, but 170 million new ones will be created, though that does not mean the transition will be smooth or fair. However, in many cases, AI is not replacing workers outright; it is changing what they do. A programmer using AI to write code faster is still employed, just differently. A radiologist using AI to flag abnormalities in scans is still making the final call. This is what economists call augmentation rather than displacement, and right now it is probably more common than full replacement. That being said, some groups are already feeling the pressure. Young tech workers have been hit harder than most. Since early 2025, unemployment among 20- to 30-year-olds in AI-exposed tech roles rose by nearly 3 percentage points. Entry-level positions that used to serve as career starting points are disappearing in some fields, as companies use AI to do work that would previously have gone to junior hires. Workers who can use AI as a tool tend to earn more. Jobs requiring AI skills now command wages about 56% higher than comparable roles without that requirement. Workers who cannot access or use AI, whether due to age, education, or where they live, risk falling further behind.

Overall, the impact of AI remains complex. While it has the potential to create new opportunities and improve productivity, it also raises concerns about job security and inequality. In many cases, AI does not completely replace jobs but changes how they are performed, requiring workers to adapt to new technologies and develop new skills.

IV. Major Countries and Organizations Involved

The United States is the global leader in AI development. OpenAI, Google DeepMind, Meta AI, Anthropic, and Microsoft are all American companies, and the US has driven most of the frontier AI research. The Trump administration's July 2025 AI Action Plan focused on accelerating development, expanding infrastructure, and reducing regulation. The US approach puts innovation first and deals with labor and social consequences separately.

The European Union has taken the opposite approach. It passed the EU AI Act in 2024, the first comprehensive AI law in the world. The law classifies AI systems by the level of risk posed and sets strict rules for the most dangerous ones. It bans certain AI practices outright, including systems that manipulate people or use real-time biometric surveillance in public spaces. The EU has also launched a €200 billion investment plan to stay competitive while regulating responsibly.

China is the United States' main rival in AI. It has poured enormous state resources into AI development and treats it as a national strategic priority. China has also introduced its own AI regulations, particularly around generative content and algorithmic recommendations, though its approach is very different from the EU's.

India has a large, English-speaking technical workforce and a growing digital economy, making it a potential major beneficiary of AI. However, without serious investment in infrastructure and education, the gap between India's AI-capable workforce and the rest of the population could widen significantly.

The International Monetary Fund (IMF) has been one of the most active institutions studying AI's economic effects. It has warned that AI is likely to increase inequality both within and between countries, and has called for stronger social safety nets, retraining programs, and redistributive tax policies.

The International Labor Organization (ILO) focuses on what AI means for workers' rights, job quality, and collective bargaining. Its research emphasizes that most jobs involve a mix of tasks, only some of which can be automated, meaning the reality is more nuanced than headlines about mass unemployment suggest.

The OECD has developed voluntary AI governance principles endorsed by over 40 countries, emphasizing transparency, accountability, and human oversight of AI systems.

V. Timeline of Events

Date	Description of event
1950	Alan Turing publishes his paper proposing the Turing Test
1956	John McCarthy launches AI as a formal field of research.
1991	The EU launches its first coordinated AI and robotics research program, recognizing the need for a unified European approach.
2006	China publishes “The National Medium- and Long-Term Program for Science and Technology Development” (2006- 2020)
2016	China publishes its first national robotics plan and begins replacing factory workers with robots at a rapid pace.
2019	Trump signs an executive order prioritizing AI investment and reducing regulatory barriers.
2022	OpenAI launches ChatGPT.
2023	South Korea commits \$1.9 billion to AI research with a focus on retraining workers in at-risk industries.
2025	Launches InvestAI at the Paris AI Action Summit, pledging €200 billion for AI investment across Europe, including a €20 billion fund specifically for AI infrastructure.

VI. Previous Attempts to Solve the Issues

- **The EU AI Act**
- **The OECD AI Principles**
- **The Council of Europe's Framework Convention on AI**
- **The EU's GPAI Code of Practice**

VII. Possible solutions

- **Stronger International AI Governance**

The solution is some kind of international agreement that sets basic standards everyone has to follow, covering things like transparency, safety, and worker rights. Some experts have suggested creating a dedicated global AI body, similar to how the International Atomic Energy Agency oversees nuclear energy, that could keep an eye on AI development worldwide and help countries coordinate their responses.

- **Closing the Digital Divide**

If poorer countries cannot access AI tools or train their workers to use them, the gap between rich and poor nations will only get bigger. This means the international community needs to invest in basic digital infrastructure in developing countries, including reliable internet, electricity, and affordable devices, alongside proper AI education.

- **Updating Labor Laws**

Governments need to update their systems to cover gig workers and freelancers who currently fall through the cracks, provide better support for people switching careers, and make retraining programs quicker and more practical.

- **Taxing AI Gains More Fairly**

Workers who can use AI earn more, and companies that own AI systems profit enormously, while workers who get displaced earn less or nothing. Governments can push back on this by taxing capital income and AI-generated profits more progressively, making sure those gains contribute to public services and safety nets. At an international level, expanding the existing global minimum corporate tax could stop companies from shifting

their AI profits to low-tax countries to avoid contributing.



VIII. Sources

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Timeline

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